

M/s Mohit Paper Mills Ltd. v. PVVNL

Writ-C No. 57045/... (Allahabad HC) (2011) (AFR)

High Court of Judicature at Allahabad (HC-SB) | 2011-10-14 | Bench: Sudhir Agarwal J (1) | IK doc 57045694 | HC-020 | schema 1.0

The assessing officer has no jurisdiction to make a theft assessment unless a case of theft is first ESTABLISHED (per the Code's para 8.1(b)(iv)) — a mere provisional assessment order does not establish theft; the best-judgment assessment must be reasoned, unbiased and rational, an oral hearing must be given, and theft cannot be inferred on mere presumption.

GOOD-LAW as of 2026-07 · provision-version OK: True

§126 assessment: good-law on establishing theft first, reasoned/unbiased best judgment, and the impossibility exception; consistent with the later Seetaram Rice Mill framework.

natural justice: good-law on the mandatory oral hearing.

§127 appeal: good-law on the requirement of a speaking appellate order.

Not overruled (AFR/reportable). Pre-dates Seetaram Rice Mill (2012) and reasons independently. Applies the post-2007 Act and the U.P. Supply Code, 2005; some assessment events straddle the 15.6.2007 amendment but the ratios are version-independent.

FACTS & PROFILE

An industrial (paper mill) consumer's billing meter was found burnt to ash on inspection; the checking team recommended action under Section 138(d), but a Section 126 provisional and final theft assessment was raised (relying on readings of three meters installed OUTSIDE the premises which, until the meter burnt, matched the billing meter). No oral hearing was given, and the final assessment recorded no reasoning establishing theft. The appellate authority (Commissioner) upheld it in a non-speaking order.

Procedural posture	Writ petition under Article 226 challenging the assessment and the Section 127 appellate order
Outcome for	consumer
Relief granted	Assessment and appellate orders quashed; reconnection; refund with interest and costs.
Consumer category	industrial (paper mill, HT consumer)
Fact-pattern	billing-meter-burnt, reliance-on-external-meters, no-oral-hearing, theft-not-established, non-speaking-appellate-order
State	Uttar Pradesh
DISCOM / party	Paschimanchal Vidyut Vitran Nigam Ltd. (PVVNL)
Statutory version	post-2007 (Act 26 of 2007) — Section 126 assessment and U.P. Electricity Supply Code, 2005 (para 8.1); note the case pre-dates Seetaram Rice Mill (2012) and reasons independently on the Section 126/135 distinction

Disposition: Writ petition allowed; both the assessment order and the appellate order quashed; supply to be restored within 48 hours, the deposited amount refunded with 8% interest and Rs 25,000 costs — with liberty to the respondents to take lawful action afresh.

ISSUES FRAMED

INTERPRETATION OF THE ELECTRICITY ACT

Provisions construed: s.126, s.127, s.135, s.138(d)

s.126 / Reg. 8.1

ratio

post-2007

must-establish-theft-first

§126 assessment

burden of proof

The assessing officer has no jurisdiction to make a theft assessment unless he first establishes a case of theft against the person (para 8.1(b)(iv)); merely issuing a provisional assessment order does not establish theft.

“The Assessing Officer, I have no hesitation to hold, had no jurisdiction at all to proceed to make assessment unless he establishes a case of theft against the person concerned.”

— para 183

s.126

ratio

post-2007

theft-not-on-presumption

burden of proof

Theft of electrical energy cannot be made out on mere presumption; it has to be established as required by para 8.1(b)(iv) of the Code.

“a case of theft of electrical energy cannot be made out on mere presumption. It has to be established as per para 8.1 (b)(iv).”

— para 195

s.126(1)

ratio

post-2007

best-judgment-rational-unbiased

§126 assessment

A best-judgment assessment under Section 126 must be arrived at without bias and on a rational basis; the officer cannot take a 'short cut' by recording an evasive conclusion in the provisional assessment without discussing how the inference of unauthorised use/theft was reached.

“The Assessing Officer thus in my view, opted for a short cut by issuing a provisional assessment order without discussing anything to show how he could arrive at the inference that petitioner is guilty of unauthorized use of electricity or theft and in an evasive manner simply recorded his conclusion and proceeded to make provisional assessment.”

— para 181

s.126(3) / Reg. 8.1

ratio

post-2007

oral-hearing-required

natural justice

The law requires an opportunity of oral hearing to the consumer before final assessment; none was given here (no date was communicated for the consumer to answer the charges in person).

“The law also requires an opportunity of oral hearing to the consumer but in the case in hand, admittedly no such opportunity was given to the petitioner”

— para 183

s.126 / s.135

explanatory

post-2007

s126-vs-s135-positive-act

§126 vs §135

§135 mens rea

Section 126 assessment may be made even on inspection of records where a person is found in unauthorised use, without attracting Section 135, because Section 135 contemplates a positive act interfering with the recording of electricity supplied.

“for the purpose of Section 126, if Assessing Officer even after inspection of record maintained by a person comes to the conclusion that such person is indulged in unauthorized use of electricity, he can proceed to make assessment but then Section 135 would not be attracted. The reason being that it contemplates a positive act”

— para 72

s.138(d)

ratio

post-2007

no-s126-assessment-for-138(d)

§126 assessment

For a contravention of Section 138(d), an assessment under Section 126 (or para 8.1 of the Code) is not permissible.

“for contravention of Section 138(d) , assessment under Section 126 or in para 8.1 is not permissible.”

— para 187

REGULATIONS / SUPPLY CODE CONSTRUED

- **U.P. Electricity Supply Code, 2005, para 8.1 (procedure for theft assessment; 8.1(b)(iv): assessment only 'if a case of theft has been established')** — implements s.126/s.135 procedure (made under Electricity Act, 2003)

AUTHORITIES CITED

Haji Lal Mohd. Biri Works v. State of U.P. AIR 1973 SC 2226 · Supreme Court

followed

Cited for: An assessing authority making a best-judgment assessment must arrive at its conclusion without any bias and on a rational basis.

“the assessing authority while making best judgment assessment should arrive at its conclusion without any bias and on a rational basis.”

— as quoted in the judgment

Hindustan Milkfood Manufacturers Ltd. v. Director of Entry Tax, W.B. AIR 1983 SC 586 · Supreme Court

Cited for: Reiterates and follows the best-judgment (unbiased, rational) standard in Haji Lal Mohd. Biri Works.

followed

Inter College Kusmaul, Gorakhpur v. State of U.P. 2006 (5) AWC 4436 · Allahabad High Court (DB)

followed

Cited for: Applies *Lex non cogit ad impossibilia / impotentia excusat legem* — the law does not compel the impossible (relevant where the consumer's meter is destroyed and reading is impossible).

RATIO & WHAT WAS DECIDED

§126 assessment

HC-SB (Allahabad)

settles

An assessing officer cannot make a theft assessment without first establishing a case of theft (para 8.1(b)(iv)); the best-judgment assessment must be reasoned, unbiased and rational, an oral hearing must be given, and theft cannot be inferred on mere presumption or on readings of meters not installed at the consumer's premises absent a specific enabling provision.

§127 appeal

HC-SB (Allahabad)

affirms

The Section 127 appellate authority must apply its own mind, read the relevant provisions and pass a reasoned, speaking order; a shallow, non-speaking affirmance cannot stand.

SIGNIFICANCE

A detailed, reportable Allahabad authority (cited 7×, and pre-dating Seetaram Rice Mill) on the discipline of a Section 126 theft assessment: the assessing officer has no jurisdiction to assess for theft unless theft is first established (para 8.1(b)(iv)), the best-judgment assessment must be unbiased, rational and reasoned (Haji Lal Mohd. Biri Works), an oral hearing is mandatory, theft cannot rest on presumption, and reliance on meters not installed at

the consumer's premises needs a specific enabling provision (subject to the Lex-non-cogit exception). Also holds that a Section 138(d) contravention does not permit a Section 126 assessment, and the Section 127 appellate order must be a speaking one.

FLAGS

no jurisdiction to assess for theft unless theft is ESTABLISHED (para 8.1(b)(iv))

best-judgment assessment must be unbiased, rational, reasoned (Haji Lal Mohd Biri Works)

oral hearing mandatory before final assessment

theft cannot be inferred on mere presumption

meters NOT at consumer's premises need a specific enabling provision (Lex non cogit exception)

s.138(d) contravention does NOT permit s.126 assessment

s.127 appellate order must be a speaking order

PRE-Seetaram (2011); expert-cited; shortlist #45; post-2007-text (AFR)

Jurisprudence record — generated from HC-020.record.json for the Electricity Act §126/§135 project. Verbatim quotes are grep-verifiable against the source judgment.